

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MSRF, INC., *Complainant*

v.

YANG MING TRANSPORT CO., *Respondent*.

DOCKET NO. 22-21

Served: February 24, 2023

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTIONS TO COMPEL AND RELATED MOTIONS

I. Overview

A. Background

Complainant MSRF, Inc. (“MSRF” or Complainant) filed a complaint alleging violations of the Shipping Act Sections 41102(c), 41104(a)(2), 41104(a)(5), 41104(a)(9), and 41104(a)(10) regarding negotiations for and completion of a written service contract. Complaint at 4-6. Respondent Yang Ming Marine Transport Co. (“Yang Ming” or Respondent) denies the allegations and raises affirmative defenses. Answer at 18-20.

In the Scheduling Order issued on October 13, 2022, discovery for this proceeding was scheduled to be completed by February 10, 2023, based on the parties’ stipulation in their October 7, 2022, joint status report that discovery would end on that day. On December 7, 2022, Complainant filed a conditional consent motion to amend the scheduling order, which was denied; the motion sought to revise all dates of the scheduling order, including proposing discovery completion on March 17, 2023. Respondent then filed a motion for reconsideration, which was granted, and the parties were ordered to submit a joint status report and proposal to amend the scheduling order to allow for the initial decision to issue by August 19, 2023. On January 17, 2023, an Amended Scheduling Order issued that incorporated the parties’ proposal, including extending the completion date for discovery to February 17, 2023.

On January 6, 2023, Yang Ming filed a motion to compel responses to interrogatories and to order new answers to requests for admission (“Motion to Compel Interrogatories/ Admissions”) from MSRF. Yang Ming asserts that it provided a list of deficiencies to MSRF by email, but as of the January 6, 2023 motion, MSRF had not responded. Yang Ming attached certificates of consultation and attempt to meet and confer, both indicating that it made the attempt on January 3, 2023.

On January 18, 2023, MSRF filed a counterstatement (“First Response”) and opposed the Motion to Compel Interrogatories/Admissions. MSRF asserted that it “produced responses to Yang Ming’s voluminous discovery requests” on December 21, 2022; Yang Ming did not provide adequate time for MSRF to respond to the January 3, 2023 list of deficiencies; and Respondent did not attempt to confer in good faith. First Response at 2.

On January 18, 2023, Yang Ming filed a motion for leave to reply to MSRF’s response (“Motion to Reply”) to challenge the timeliness of MSRF’s response and to dispute MSRF’s assertion that Yang Ming failed to offer sufficient time to confer or respond to the deficiencies.

On January 30, 2023, Yang Ming filed a motion to compel production of documents (“Motion to Compel Documents”).¹ Further, Respondent withdrew some of the requests for new answers to requests to admission and some of the interrogatories identified in the Motion to Compel Interrogatories/Admissions, subject to MSRF supplementing its responses by February 3, 2023. Motion to Compel Documents at 1-2. Yang Ming certified that it attempted to consult and confer with MSRF on January 23 and January 27, 2023.

On February 6, 2023, MSRF filed a counterstatement (“Second Response”) and opposed the motion to compel document production. Complainant asserted that it had either provided sufficient documents or had promised to supplement production.

On February 7, 2023, Yang Ming filed a motion to correct misstatements of fact in Complainant’s response to Yang Ming’s motion to compel production of documents (“Motion to Correct”).

For the reasons stated below, Yang Ming’s Motion to Compel Interrogatories/Admissions and Motion to Compel Documents are **GRANTED IN PART AND DENIED IN PART**, and Yang Ming’s Motion to Reply, Motion to Correct, and Motion to Reduce Time for MSRF to Respond are **DENIED**.

B. Standard of Review

The Commission’s Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

¹ While styled as a motion to compel production of documents, Yang Ming also moved to reduce Complainant’s time to respond to the motion or, “[i]n the alternative, Respondent would not object to an extension of the discovery period sufficient to allow Complainants (sic) to comply with their discovery obligations (subject to the accommodation of the absence of one of Yang Ming’s counsel from May 9 to May 21, 2023).” Motion to Compel Documents at 1.

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

II. Motions to Compel, Motion to Reply, and Motion to Correct

Yang Ming's motions to compel raise several distinct issues: 1) Complainant's refusal to answer 15 interrogatories² that Respondent maintains are contention interrogatories allowed under 502.145(a)(2); 2) Complainant's incomplete answers or refusal to answer other interrogatories; 3) Complainant's relevancy objections when Respondent alleges the subject matter was relevant; 4) as to requests for admission, whether Complainant made a reasonable inquiry before indicating it had insufficient evidence to admit or deny; 5) Complainant's refusal to answer requests for admission on the grounds that they ask for a legal conclusion; and 6) as to document production, Complainant's various assertions that a request is ambiguous, that Respondent already has the document in its possession, or that the document sought is not relevant.

MSRF asserts that the Motion to Compel Interrogatories/Admissions should be denied because Yang Ming did not confer in good faith, allowing essentially 48-hours for MSRF to respond to alleged deficiencies and supplement its responses before submitting the first motion to compel. MSRF told Respondent that it would review the list and supplement its responses as appropriate, but after an exchange of emails from January 3 to January 5, 2023, the motion was filed. I note that MSRF's response to the first motion to compel was not filed until January 18, 2023, and was not accompanied or preceded by a motion to extend time to respond. The limited argument presented in the response does not address the interrogatories or admissions raised as deficient by Yang Ming. While I accept the late response, it demonstrates a failure to respond timely. Complainant is reminded to follow the time limits for responding to motions, and when it is not possible to do so, to timely request an extension of time. In the future, late submissions without a timely request for leave to extend may be rejected.

² In its Motion to Compel Documents, Respondent withdrew its objection to the response to Interrogatory 6, conditioned on Complainant supplementing its response "soon". Motion to Produce Documents at 2. Such conditional withdraw indicates that the parties are still engaged in negotiation regarding the responses, as will be addressed more below. Accordingly, Interrogatory 6 is separately addressed from those identified in the Motion to Compel at page 2.

As a further matter, Yang Ming filed a Motion to Reply following Complainant's response to the first motion to compel, and then a motion to correct following Complainant's response to the second motion to compel. These will be discussed together below.

A. Motion to Compel Interrogatories/Admissions

Respondent's first motion to compel encompasses interrogatories and requests for admissions. In interrogatories 4, 5, 8, 9, 10, 11, 12, and 20 Yang Ming asked MSRF to "[i]dentify all significant case law, regulation, statute, legislative history, interpretive guidance, policy, or other precedent that Complainant believes support the proposition that..." and then referenced an alleged fact from the complaint (e.g., interrogatory 5 continues, "...that Respondent was required to carry Complainant's cargo between any particular port pair: (i) in general or (ii) on any particular sailing."). Motion to Compel Interrogatories/Admissions, Attachment A, page 1. Respondent argues that these are contention interrogatories that request "the application of law to the facts alleged in the Complaint." Motion to Compel Interrogatories/Admissions at 2-3. Complainant answered that group of interrogatories by objecting because they call for a legal conclusion and infringe on the attorney-client privilege; Complainant also referred Respondent to various complaint paragraphs in each answer.

Interrogatories 4, 5, 8, 9, 10, 11, 12, and 20 seek Complainant's legal research rather than trying to ascertain the "the legal contentions made by opposing [party] and the factual bases for those legal contentions." *Thorn EMI N. Am. V. Intel Corp.*, 936 F. Supp. 1186, 1191 (D.Del.Aug. 29, 1996). The Commission's Rule regarding the scope of interrogatories 46 C.F.R. § 502.145(a)(2) is consistent with the language in FRCP 33(a)(2) and states:

An interrogatory may relate to any matter that may be inquired into under § 502.141(e) and (f). An interrogatory is not objectionable merely because it asks for an opinion or contention that relates to fact or the application of law to fact, but the presiding officer may order that the interrogatory need not be answered until designated discovery is complete, or until a prehearing conference or some other time.

This concept is explained in *Way Int'l v. Exec. Risk Indem., Inc.*, 2009 U.S. Dist. LEXIS 90221 (S.D. Ohio 2009), where plaintiffs sought through interrogatory all legal authority on which defendant relied in denying a defense under an insurance policy. Defendant asserted attorney-client privilege and work product doctrine in its objection to the interrogatory. In denying the motion to compel the response, the court quoted from *Columbia/HCA Healthcare Corp. Billing Practices*, highlighting the Sixth Circuit's explanation regarding the work product doctrine, that "absent waiver, a party may not obtain the 'opinion' work product of his adversary; i.e., 'any material reflecting the attorney's mental impressions, opinions, conclusions, judgments, or legal theories.'" 293 F.3d 289, 294 (6th Cir. 2002). The court then noted this statement was "consistent with the Supreme Court's observation in *Hickman* that '[n]ot even the most liberal of discovery theories can justify unwarranted inquiries into the files and the mental impressions of an attorney.'" *Way Int'l*, 2009 U.S. Dist. LEXIS 90221, at *25 (quoting *Hickman v. Taylor*, 329 U.S. 495, 510 (1947)). The court continued, "Because Plaintiffs' request for Defendant ERII's 'legal authority' resembles the rejected attempt in *Hickman*, 'without purported necessity or justification, to secure' the mental impressions 'formed by an adverse party's counsel in the course of his legal duties,' Plaintiffs' request, too, 'falls outside the arena of discovery.'" *Id.*

While Complainant's objections to these interrogatories may not square with the above in each instance, it does raise work product as an objection in some of the above, and regardless, another party's legal research is not discoverable.

The court in *Way Int'l* first noted that "Plaintiffs cite to no legal authority to support their entitlement to discovery of the 'legal authority' their interrogatories seek." *Id.* at 22. Respondent here cites to *Ocean Network Express, Pte Ltd. And Ocean Network Express (North America), Inc.—Possible Violations of 46 U.S.C. § 41102(c)* 2022 FMC LEXIS 178 at *3-4 (ALJ 2022, Order Granting Motion to Compel) as authority to support their entitlement to legal authority, but that reliance is misplaced as the relevant case law is clear that the opposition's legal research is not a proper subject of discovery.

The next group of interrogatories were grouped in Respondent's motion with the above interrogatories as seeking an application of law to facts, but they do not. Responding to Interrogatory 13, which asks Complainant to "state in detail every significant [missing word] upon which you rely to support the allegation" from the complaint regarding its view that Respondent continued at near pre-pandemic levels, Complainant answered: "None other than the facts referenced in Complainant's Complaint." Motion to Compel Interrogatories/Admissions Attachment A, page 5. Complainant's response of "none" other than the facts it pled in the complaint is a sufficient response and Complainant need not respond further.

Interrogatory 21 is a compound one that requests multiple distinct pieces of information for "each shipment that Complainant asserts it tendered to Respondent during the May 1, 2021 through April 30, 2022 period" as well as "all correspondence or communications (written or oral) between Complainant and Respondent and...between Complainant and the booking agent and/or supplier regarding the shipment." Motion to Compel Interrogatories/admissions Attachment at page 9. Complainant objected to the request as compound but agreed to supplement its response subject to that objection. *Id.* Interrogatory 23 is not referenced in Respondent's motion, although it is included in the attachment and refers back to Interrogatory 21, asking for several more distinct pieces of information based on the shipments identified in Interrogatory 21. *Id.* at 10. Complainant responded to Interrogatory 23 with the same objection that it is compound but indicated it would supplement subject to the objection. To the extent Complainant has not yet supplemented its response to Interrogatory 21, it is directed to do so by the date below. Since Interrogatory 23 was not included in the motion to compel, Complainant need not supplement its response.

Interrogatory 25 asked Complainant to explain the significant facts supporting Allegation 11 in the complaint that from May to December 2021 Respondent breached its service contract commitment to provide 100 containers, instead providing only 4, and where in the contract Respondent was required to provide a specified amount of service before the end of the contract. *Id.* at page 11. Complainant responded that paragraph 11 of the complaint "speaks for itself." To the extent it has not done so through the production of documents or in supplemental response to other interrogatories, Complainant should respond more fully to Interrogatory 25 by the date below.

Interrogatory 26 asked Complainant to explain the significant facts supporting Complainant's assertion in Allegation 17 of the complaint "that the service provided by

Respondent was not in accordance with the rules and practices set forth in the Service Contract...including identification of the specific provision that was violated and an explanation of how such provision was violated.” Complainant responded that “The specific provision that was violated is paragraph 7 (Carrier Service Commitments) and the Minimum Quantity Commitment in the header to the Service Contract. Contrary to Respondent’s assertion in its motion that Complainant declined to respond to Interrogatory 26, it did not object and did respond. Motion to Compel Interrogatories/Admissions at 2-3 and Attachment A page 11. Since Interrogatory 26 was answered and the motion does not otherwise address a deficiency, the response need not be further supplemented.

Interrogatory 36 asks Complainant to provide facts supporting Allegation 49 in the complaint while taking into consideration Respondent’s defense; Complainant responded that the facts supporting its allegation are “the entirety of the Complaint.” Respondent does not adequately explain why Complainant’s response is inadequate. Complainant is not compelled to respond further. Motion to Compel Interrogatories/Admissions at 2-3 and Attachment at page 16.

Similarly, Interrogatory 38 asks Complainant to provide facts to support Count V of the complaint “considering that Respondent offered, and Complainant accepted, service above and beyond the MQC in each direction.” Complainant responded that the facts on which it relies are in the complaint in its entirety. If there are no other facts on which Complainant relies, it need not further respond. *Id.*

The remaining interrogatories for which Respondent seeks an order to compel (and were not subsequently withdrawn subject to conditions) are 15-19, 27, 28, 33-35, 37 and 42. Respondent raises various reasons why Complainant’s responses are faulty, including “incomplete and vague” (15, 33, 42,), “untenable relevance objection” (16, 17, 19, 35), and “does not fairly respond to the question” or “non-responsive” (18, 19, 34, 37). Yang Ming offers an abbreviated explanation as to why the responses are deficient “due to space constraints” and argues without specificity that the deficient responses “prejudice[s] Respondent, especially in light of the tight discovery schedule in this proceeding.” Motion to Compel Interrogatories/Admissions at 6. As previously noted, Complainant makes no argument in response other than a request for denial of the motion due to Respondent’s failure to meet and confer in good faith.

Turning to the interrogatories and responses, Yang Ming asked MSRF to explain in detail the facts that it believes support allegation 9 in the complaint (quotation from complaint in original interrogatory), and noted that the explanation should include:

identification of (i) what provision(s) in the Service Contract required Yang Ming to provide MSRF space on any particular vessels and/or on an as-requested basis, (ii) every request for booking or space made by MSRF that was not accepted by Yang Ming, including what alternate transportation arrangements MSRF in fact made and whether Yang Ming offered space on an alternative loading port(s) or receiving port(s).

Interrogatory 15, Motion to Compel Interrogatories/Admissions Attachment A, page 6.

MSRF objected to Interrogatory 15 (misstated as 16), as compound, but responded generally to part (i) that the service contract required Yang Ming to provide MSRF with space and that it would supplement its response as to part (ii). For purposes of Rule 502.145(a), Respondent is cautioned that this interrogatory would constitute 2 of the 50 interrogatories allowed.

Yang Ming's interrogatory 15 is compound, and such construction should be avoided when propounding interrogatories. Because MSRF generally responded to the interrogatory (i) and stated it would supplement regarding section (ii), it should complete the response to that section, and specify on what provisions of the service contract it relies regarding section (i). Finally, MSRF should explain the facts that it believes support allegation 9 in the complaint. MSRF should provide the supplemental responses within the time ordered below.

Respondent asserts that Interrogatory 33 is incomplete because Complainant did not include "all communications between MSRF and Respondent regarding such shipment." To the extent that the missing information in this interrogatory has not been addressed through production of documents, or is not already in the possession of Respondent (as communications between the two parties are likely to be), Complainant should provide any missing response within the period ordered below.

Interrogatories 16 and 17 seek the identity of all ocean common carriers with which MSRF had services contracts from 2021-2022 "involving the U.S. trades" and for each of those carriers, "identify the geographic scope by individual port pair, the MQC (and sub-MQCs, if any), the amount tendered by MSRF, and the amount carried by the ocean common carrier." Motion to Compel Interrogatories/Admissions Attachment A page 7. Complainant objected to Interrogatories 16, 17, 19, and 35 as irrelevant. Respondent asserts that "identification of other MSRF contracts is relevant to the options available to MSRF, as well as damages and mitigation thereof." Motion to Compel Interrogatories/Admissions at 3-4. Interrogatories 16 and 17 are too broad as the existence of other service contracts does not necessarily mean that all of those service contracts were obtained as a result of what is alleged in the complaint. The request may require disclosure of commercially sensitive or confidential information of non-parties. If Complainant intends to rely on any of these contracts, they need to be disclosed. A protective order and/or confidentiality agreement will be considered if the parties move to include one. If any information is withheld because of an asserted privilege, Complainant must serve a privilege log as instructed in the Initial Order page 3, paragraph 12. If Complainant does not intend to rely on any of these contracts, then they are not relevant and do not need to be disclosed.

Interrogatory 19 asks for the "significant facts" supporting Complainant's Allegation 10 "and elsewhere that MSRF was forced to resort to the spot market because its needed capacity was not initially covered by service contracts ocean common carriers...including identification of every shipment MSRF made in the spot market and an explanation of what steps it took to identify alternative arrangements...." Complainant objects that the interrogatory is irrelevant and overbroad and responds that the Complaint speaks for itself. Motion to Compel Interrogatories/Admissions, Attachment at 7-8. Respondent counters that it is relevant because it "pertains to the options available to MSRF, as well as damages and mitigation thereof." Respondent does not respond in its motion to Complainant's objection that the interrogatory is overbroad. Motion to Compel Interrogatories/Admissions at 3. While the information the

interrogatory seeks is relevant based on the allegations in the complaint, it is overbroad, including failing to identify a time frame. Complainant should identify the shipments made in the spot market from May 1, 2021 during the period of the 2021-2022 service contract.

Interrogatory 35 asks Complainant to “[e]xplain in detail the significant facts supporting...Allegation 29 that the assertions made in Allegations 1-27 relate to ‘the receipt, handling, storage, and delivery of property,’ including whether such action is ‘receipt,’ ‘handling’...and why.” Complainant objects that it is irrelevant, and that the Complaint speaks for itself, and Respondent counters that it goes to subject matter jurisdiction. Motion to Compel Interrogatories/Admissions at 4 and Attachment A, page 16. To the extent that Respondent requests the individual labeling of Allegations 1-27 as “receipt,” “handling,” or “storage,”—if that is what it intends by this interrogatory—it has failed to offer an adequate explanation for why that is necessary.

The next grouping of interrogatories to which Respondent moves to compel response are those it contends do not fairly respond, are insufficient or incomplete, or are otherwise nonresponsive: 18, 27, 28, 33, 34, 37, and relatedly, 42. Motion to Compel Interrogatories/Admissions at 3-4.

Interrogatory 18 seeks facts supporting Allegation 10 in the complaint the Complainant is “forced to...agree in advance to exorbitant rates for whatever portion of its needed capacity global ocean carriers are willing to cover with services contracts...” and what portion of its “needed capacity” was not filled as of May 1, 2021. Motion to Compel Interrogatories/Admissions at 3 and Attachment A, page 7. Complainant objected to Interrogatory 18 as compound, that subject to the objection paragraph 10 of the complaint “speaks for itself,” and added that it would supplement its response as to the percentage of unfulfilled service. Respondent counters that this does not fairly respond to the question. Complainant is directed to supplement its response as it said it would and provide whatever other facts support Allegation 10 in the complaint by the date ordered below.

Respondent asserts that Interrogatories 27 and 28 are insufficient because they merely reference the complaint. As in all the other interrogatories where Complainant raised an objection to it being compound, or as in the case of these two, “having multiple discrete subparts within one interrogatory,” Respondent does not address the objection in its motion to compel. Motion to Compel Interrogatories/Admissions at 3-4 and Attachment A, pages 11-12. Commission Rule 502.145(a) limits the parties to propounding “no more than 50 written interrogatories, including all discrete subparts.” Of the interrogatories Respondent currently wishes to compel response or further response, which number up to Interrogatory 42 (I note that Complainant asserts there were 45, First Response at 2), several are compound and include discrete subparts. Interrogatories 27 and 28 are examples of single interrogatories with multiple discrete subparts. In the interest of moving the case forward, the parties are urged to confer regarding what can be provided by the date ordered below that addresses the main contention of the interrogatories that are identified as compound so that Respondent does not exceed the limit of 50 written interrogatories.

Respondent asserts that Interrogatory 33 is incomplete because it did not include the communications between itself and MSRF regarding multiple identified shipments.

Complainant responded that it would supplement its response, and it should do so by the date below. Motion to Compel Interrogatories/Admissions at 4 and Attachment A, pages 14-15. So as not to delay the progress of the case further, the parties should confer regarding whether Respondent already has such communications in its possession.

Interrogatory 34 is another multipart one to which Complainant objected on the basis that the interrogatory is compound, but responded in part. Respondent maintains that Complainant “[d]oes not respond to the question asked.” The interrogatory states:

Explain in detail the significant facts supporting Complainant’s assertion in Allegation 27 that ‘Respondent is...re-selling the capacity allotted to MSRF under the service contract [sic] to other shippers on the same spot market at substantially higher rates than those to which it agreed in the service contract,’ including how an ocean common carrier can re-sell its own space, identification of the shippers to which such space was re-sold, and the terms and conditions of the re-sale.

Motion to Compel Interrogatories/Admissions at 4, Attachment A, pages 15-16.

Complainant objected and responded:

MSRF’s suppliers were able to, through a freight forwarder, book the same sized shipment requested by MSRF with Yang Ming at a higher rate than what MSRF had contracted for with Yang Ming.

Id. at Attachment A, page 16. To the extent that Complainant can answer on what basis it asserts that Respondent is reselling the space allotted under the service contract to it, Complainant must respond by the date below. To the extent that Respondent is asking Complainant to explain how Respondent may or may not operate regarding its space, it would appear that information is uniquely in the possession of Respondent.

Interrogatory 37 asks Complainant to explain “how Respondent’s alleged conduct was ‘continuous and ongoing,’” to which Complainant responded that it was set forth in the complaint and was “continuous and ongoing throughout the duration specific (sic) therein.” Respondent asserts this is non-responsive. I disagree. Complainant need not respond further unless it has more facts on which it relies to assert that Respondent’s conduct is ongoing beyond the dates in the complaint.

Finally, Respondent asserts that Complainant’s response to Interrogatory 42 is limited to only one service contract when Respondent asked about the details of multiple service contracts between Respondent and Complainant. Complainant again pointed out the compound nature of Respondent’s interrogatory and referred Respondent to the service contract and amendments in Respondent’s possession. Complainant should indicate if there is more than one service contract at issue, and if so, identify which one(s) are at issue.

Turning now to Respondent’s motion to compel admissions, it conditionally withdrew all but four of the requests for admission if Complainant supplemented its responses “soon”, which in a footnote was defined as February 3, 2023. See Motion to Compel Interrogatories/Admissions at 5; Motion to Compel Documents at 2 (I note that Respondent did not move to

compel admission request numbers 3 or 30, which it identifies as withdrawn conditionally). I am unable to rule on this portion of Respondent's motion because the requests for admission and responses are not set forth in Attachment A as required by Commission Rules 502.150(a)(2)(ii) and (iii). Complainant should supplement its responses to those requests for admission that it indicated it would supplement by the date below if it has not already done so.

Respondent filed a status report on February 13, 2023, alleging that it had filed supplemental requests for discovery on January 10, 2023, and that Complainant produced nothing as of the February 9, 2023, deadline to serve objections and responses to supplemental written discovery requests. This status report, which was filed solely by Respondent and was not required by the Amended Scheduling Order of January 17, 2023, does not address whether Complainant met the terms Respondent set for withdrawal of the 17 initial requests for admission and interrogatories. Three of those identified as withdrawn had no condition attached (RFA 30, 37, and Interrogatory 45), and one was not the subject of the motion to compel (RFA 3). See Motion to Compel Interrogatories/Admissions at 5; Motion to Compel Documents at 2. If Complainant has not supplemented its responses to the requests for admission and interrogatories identified as withdrawn subject to Complainant's response that it would supplement its responses, it must do so by the date ordered below.

B. Motion to Produce Documents

In a separate motion, Respondent asserts that Complainant should be compelled to provide documents responsive to 13 of Respondent's requests for documents, with the primary focus of its motion relating to documents establishing or supporting the damages/reparations alleged in the complaint. Motion to Compel Documents at 3-4 and Attachment A. Complainant responded that it has "produced sufficient documents in response to Yang Ming's discovery requests, or has otherwise promised to provide supplemental production, particularly as to damages." Second Response at 1. Both parties assert in their submissions that the motions were filed due to the "tight time constraints imposed by the current scheduling Order (sic)." *Id.*; Motion to Compel Documents at 1, fn. 1.

The parties submitted a joint status report on January 17, 2023 ("JSR"), providing dates to which they agreed objections and responses to supplemental written discovery requests would be due, depositions of fact witnesses would be completed, and discovery would close. On the same day, an Amended Scheduling Order issued which adopted without change all the dates offered by the parties in the JSR. No further motions to revise the Amended Scheduling Order have been received, and discovery closed on February 17, 2023.

Respondent also requested in its Motion to Compel Documents that "Complainant's time to respond to this Motion" be reduced. *Id.* at 1. Respondent filed the motion on Monday January 30, 2023, and asked that Complainant be ordered to respond to the 13 disputed requests by Wednesday February 1, 2023, and compelled to produce the documents by Friday February 3, 2023. In addition to the 13 requests for production of documents addressed in its January 30, 2023, motion to compel, Respondent's January 6, 2023 motion to compel addressed 49 interrogatories and admissions. Given the number of interrogatories, admissions, and documents raised as deficient in Respondent's two motions, reducing the time for Complainant's response would not have aided in the resolution of the dispute. While Respondent asserts "[w]e do not,

however, seek to make the Presiding Officer referee disputes about completeness,” many of the enumerated requests raise exactly that issue, making Complainant’s counterstatement necessary to make that determination. Motion to Compel Documents at 5. 46 C.F.R. § 502.150(a)(3) allows the opposing party 7 days to respond to motions to compel, and there is insufficient reason to reduce it.

Turning to the requests for production of documents (“RFD”) raised in the motion to compel, it is unclear in some instances what documents remain outstanding. The supplemental responses by Complainant to many of the 13 RFDs refer Respondent to specific page numbers of documents it produced that Respondent found unsatisfactory in the first instance. Motion to Compel Documents, Attachment A. As discussed further below, Complainant must produce documents responsive to those RFDs identified below; to the extent it has not fully responded despite indicating it would supplement its responses, it must do so by the date below.

Complainant objects that RFD 3 was overbroad and vague or ambiguous because it sought “all” shipping documents related to “all” shipments for which alternate transportation was made after the shipment was declined by Respondent, claiming “there is no limitations (sic) as to what type of documents Yang Ming is requesting” and because there is no time frame provided. Motion to Compel Documents Attachment A, page 1; Second Response at 3. Complainant reiterated its objections and responses on January 27, 2023, and referred Respondent to “91-94, 234, 235, 241-252.” *Id.* (incorrect punctuation removed). Respondent argues that “shipping documents” are well defined in the shipping industry and that the documents it sought were those that supported complaint allegation 23 in which MSRF alleged it was forced “to purchase services on the spot market for which it had already contracted with Respondent.” This allegation goes to the heart of the alleged shipping violations Complainant alleges, and to the extent it has not produced the bills of lading, invoices, and other shipping documents relating to all shipments it was forced to make on the spot market as alleged in the complaint, it must do so by the date specified below.

RFD 4 requests documents and communications between the parties regarding Complainant’s attempts to book cargo with Respondent, and “internal memoranda or communications of Complainant relating to its alleged attempts to book cargo with Respondent...[including] correspondence to or from a booking agent for Complainant...” Motion to Compel Documents Attachment A, page 1-2. Contrary to Complainant’s objection, the requested documents are relevant to Complainant’s allegations that it was denied space for its cargo in violation of the Shipping Act. However, because it would cause further delay to have Complainant produce records already in Respondent’s possession at this stage in the proceeding, Complainant must only provide those records regarding its internal memoranda and communications, including communications with a booking agent, regarding its attempts to book cargo with Respondent.

RFD 9 similarly requests internal documents and communications which are relevant to the service contract alleged in the complaint, and as a result, are relevant. Motion to Compel Documents Attachment A, page 2. The Complainant must produce those records but need not produce the records that are already in Respondent’s possession, including correspondence between the parties.

Complainant stated in response to RFD 10 that it would provide the documents requested “relating to Complainant’s claim for, and calculation of, damages set out in Allegation 58.” Motion to Compel Documents Attachment A, page 2. While the statement provided in its response to the motion to compel provides a summary of how MSRF arrived at the amount of damages it seeks, it is not sufficient to satisfy the request to provide documents on which the calculations are based. Second Response at 4. By the date below, documents responsive to the request must be provided or if already provided in part in response to another request, identified.

Complainant objects to RFD 11 as irrelevant and duplicative and in its supplemental response it referred Respondent to pages that it previously provided but stood on its objections. While Complainant’s efforts to make alternative arrangements for shipments allegedly refused by Respondent is relevant to the violations Complainant alleges, RFD 3 requests all bills of lading, invoices, and other shipping documents relating to those same shipments and those records need not be separately provided or identified. Motion to Compel Documents Attachment A, pages 1-3. Any MSRF internal records or communications regarding those alternative arrangements are to be provided by the date below.

RFD 12 and 13 request Complainant’s financial records including audited profit and loss statements or equivalent in-house financial statements for 2019, 2020, and 2021 and state and federal tax returns for the same years. Complainant objects on the basis of relevancy. Motion to Compel Documents Attachment A, page 3. Respondent argues that the financial and tax records are relevant to MSRF’s claim for damages. The complaint alleges facts regarding the 2021-2022 shipping year and a service contract that was effective on May 1, 2021. Given the time frame of the facts alleged in the complaint, how the 2019, 2020, or 2021 financial records prior to May 1, are relevant to the alleged damages claimed after May 1, 2021, must be established by more than a mere assertion. While the standard of relevancy is broad, “the importance of the discovery in resolving the issues” in this proceeding has not been demonstrated. 46 C.F.R. § 502.141(2)(ii)(C). Yang Ming has not sufficiently established the relevancy of these two requests, and Complainant need not provide any further records in response. Second Response at 4-5.

RFD 14, 15, and 16 respectively ask for records regarding service contracts between Complainant and other ocean common carriers “during the Relevant Period,” transportation contracts between Complainant and non-vessel operating common carriers for the years 2019, 2020, and 2021, and “all records, including but not limited to, Customs entries (sic), bills of lading, cargo receipts...relating to all shipments of U.S. import cargo by any mode (land, sea, air) controlled by the Complainant for the past five years.” Complainant again objects on relevancy grounds. Second Response at 4-5. Respondent asserts only that these requests are “clearly relevant to, *inter alia*, MSRF’s claim for damages and mitigation thereof.” In addition, Respondent asserts that the RFD 16 request for five years of records of all shipments is relevant to show whether 2020-2021 was an atypical year for MSRF.” Motion to Compel Documents Attachment A, page 4.

Respondent’s explanation of the relevancy of RFD 14 and 15 is not sufficient. The complaint does not allege damages in 2019 or 2020. In addition, RFD 3 seeks the shipping records and communications for alternative transportation of the cargo allegedly refused by Respondent, which along with RFD 11, are relevant to the alleged damages and mitigation

efforts during the 2021-2022 shipping year. Respondent has not established that RFD 14 and 15 are not duplicative of other RFDs or relevant to alleged damages or mitigation efforts. Accordingly, the records requested in RFD 14 and 15 need not be provided other than as required under the prior requests.

Finally, Respondent's explanation of why all shipping records for the last five years for all mode of transport is relevant is too tangential to a defense and is burdensome, duplicative of other requests, and expands rather than narrows the issues. Accordingly, the records requested in RFD 16 need not be provided other than as required under the prior requests.

RFD 17 similarly is overbroad, requesting five years of "all records indicating the volume of cargo actually imported (measured by TEUs) by Complainant into the U.S. via any ocean common carrier..." Motion to Compel Documents Attachment A, page 5. Complainant objects to its relevancy and Respondent asserts that it is relevant to 'MSRF's assertion that it needed more space and the reasonableness of Respondent's actions, as well as MSRF's claim for damages and mitigation thereof.' This request, like RFD, goes far beyond the issues raised in the complaint, and relevancy is not established.

RFD 19 requests that Complainant "[p]roduce all records, communications, and documents relating to Complainant's determination to cease tendering cargo for door moves." Motion to Compel Documents Attachment A, page 5. Complainant responded that it was "unclear as to what Request 19 is seeking" and it was "unable to respond." Rather than restate or clarify the request or link the request to an allegation in the complaint or a defense, Respondent said the terms were "well understood in the industry and the words 'cease' and 'tendering' are plain English." *Id.* Respondent failed to clarify what it was seeking through this RFD or how it is relevant to this proceeding. Accordingly, production will not be compelled.

C. Motion to Reply and Motion to Correct

Respondent requested leave to reply to Complainant's response to the motion to compel answers to interrogatories and admissions. Pursuant to 46 C.F.R. § 502.150(4), "A reply to a response is not allowed unless requested by the presiding officer, or upon a showing of extraordinary circumstances." Neither of those conditions exist regarding the motions before me, and the request is denied.

After Complainant responded to the motion to compel production of documents, Respondent filed what it styles as a motion to correct what it asserts are misstatements by Complainant. Arguments such as those advanced by Respondent in this filing are best reserved for its brief and are not useful at this stage of the proceeding. In addition, despite calling it a motion to correct, Respondent seeks by the nature of the motion to reply to Complainant's response, which is not allowed pursuant to 46 C.F.R. § 502.150(4). Accordingly, the motion to correct is denied.

Complainant is again reminded that it must abide by the deadlines in this proceeding, including filing responses to motions in the period set forth in the rules, and in the deadline to respond to interrogatories and admissions, and to provide documents as set forth in this order.

Failure to follow this order can result in documents or testimony being excluded, adverse inferences being drawn, or dismissal of the case.

Any other objections to discovery issues after the issuance of this order should be addressed in the parties' briefs. No additional discovery motions will be permitted.

III. Order

Based on the motions, responses, and the record, it is hereby:

ORDERED that Respondent's Motion to Compel Interrogatories/Admission is **GRANTED IN PART** and **DENIED IN PART**. It is

FURTHER ORDERED that Respondent's Motion for Leave to Reply is **DENIED**. It is

FURTHER ORDERED that Respondent's Motion to Compel Documents is **GRANTED IN PART** and **DENIED IN PART**. It is

FURTHER ORDERED that Respondent's Motion to Reduce Time for Complainant to Respond is **DENIED**. It is

FURTHER ORDERED that Respondent's Motion to Correct is **DENIED**. It is

FURTHER ORDERED that Complainant must supplement its responses and production of documents consistent with the above findings by March 6, 2023.



Linda S. Harris Crovella
Administrative Law Judge